PA ROI AUDIT · SCORECARD

# Prior Authorization ROI Audit.

*The five-metric scorecard we walk self-funded clients through to tell whether your PA program is doing the work it costs.*

## 01 Before You Score — Data to Pull from Your PBM

Request a twelve-month extract. If the PBM's standard dashboard does not carry all six items, ask for them as a custom pull; that request is itself diagnostic.

- Total PA requests submitted (12-month count)
- Average turnaround time — standard and urgent
- Denial reasons by category
- Approval rate — first-pass and after appeal
- Top 20 drugs by PA volume — with per-drug approval rate
- Appeal volume with overturn rate

## 02 Score Your Program

| METRIC | GREEN | YELLOW | RED | YOUR NUMBER | SCORE |
|---|---|---|---|---|---|
| Overall approval rate | GREEN<br>70 – 85% | YELLOW<br>85 – 95% | RED<br>> 95% (rubber stamp)<br>or < 70% (too restrictive) | _____ | ○ ○ ○ |
| Average turnaround time | GREEN<br>< 24 hours | YELLOW<br>24 – 72 hours | RED<br>> 72 hours | _____ | ○ ○ ○ |
| Appeal overturn rate | GREEN<br>< 25% | YELLOW<br>25 – 50% | RED<br>> 50% (initial criteria too tight) | _____ | ○ ○ ○ |
| Therapy abandonment | GREEN<br>< 5% | YELLOW<br>5 – 15% | RED<br>> 15% | _____ | ○ ○ ○ |
| Top 20 drugs with > 90% approval rate | GREEN<br>0 – 3 drugs | YELLOW<br>4 – 8 drugs | RED<br>> 8 drugs (remove PA from these) | _____ | ○ ○ ○ |

## 03 PA Fee Structure Reference

Cross-reference your PBM invoice or fee schedule. If your PA is bundled into the administrative fee and not itemized, that is the first redline: require a fee transparency clause that produces itemized PA billing.

| | | |
|---|---|---|
| **Administrative PA review** | $25 – $40 / PA | *No clinical review required. Rubber-stamp territory if your approval rate is above 95%.* |
| **Clinical pharmacist review** | $60 – $80 / PA | *Clinical review performed. Expect if complex therapies dominate your PA volume.* |
| **"Included" in admin fee** | Not visible | *Not auditable without a fee transparency clause. Fix this at the next renewal redline.* |

## 04 Optimization Actions by Score

IF RED ON OVERALL APPROVAL RATE (> 95%)

**Remove PA from the rubber-stamp drugs.**

Pull the top-20 list filtered to drugs with first-pass approval above 90%. Remove PA. Implement gold-card exemptions for prescribers who cleared at 100% across the period. The review time and fees those PAs consumed were never doing clinical work.

IF YELLOW OR RED ON TURNAROUND TIME

**Negotiate turnaround guarantees with remediation.**

Write 48-hour standard and 24-hour urgent turnaround into the contract with dollar-denominated remediation if missed. Require quarterly compliance reporting as a standing deliverable, not a custom request. See also the Week 16 Field Note on PA turnaround contract language.

IF RED ON APPEAL OVERTURN RATE (> 50%)

**Tighten the initial criteria source, not the criteria itself.**

Criteria that get overturned half the time were not written from current clinical evidence. Require the PBM to disclose the evidence source and update cycle for PA criteria on your top 20 PA drugs. Criteria older than 24 months without citation should trigger immediate review.

IF YELLOW OR RED ON THERAPY ABANDONMENT

**Coordinate medical and pharmacy benefit sides.**

Abandonment usually signals that the member experience is breaking, not the criteria. Pull the top abandonment drugs and trace the specific handoff (prescriber → PBM → member → pharmacy). Every handoff is a fix point.

## 05 Renewal

§ **Fee transparency clause**
Itemized PA billing by review type (admin vs. clinical), delivered quarterly, with unit counts and per-unit rates.

§ **Turnaround standards**
48-hour standard / 24-hour urgent PA turnaround written as a contract commitment with dollar-denominated remediation for systemic failure.

§ **Criteria disclosure**